

IKK BOARD OF DIRECTORS MEETING 2018

VENUE
IKK GROUP HEAD OFFICE, JEDDAH

PRESENTATION TOPIC
UNITECH EXECUTIVE SUMMARY

START TIME
10 : 15 AM

PRESENTATION DURATION
45 MINUTES

PRESENTER
SAQIB ALTAF





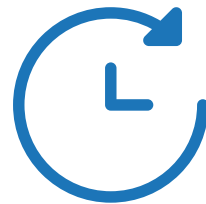
ACHIEVEMENTS 2017

SLIDE NO. 01 to 07



SHORTCOMINGS 2017

SLIDE NO. 08 to 11



BUDGETS & FUTURE PLANS 2018

SLIDE NO. 12 to 22



PRESSING OBSTACLES 2018

SLIDE NO. 23 to 24



FINANCIALS

SLIDE NO. 25 to 31



ACHIEVEMENTS

2017





UNITECH ALL | Results 2017

	SALES	GROSS	%	COLLECTION	TOTAL A/R	STOCK
UNITECH A1	200,289,776	51,896,010	25.89	183,405,433	198,273,959	33,849,941
UNITECH A2	312,055,708	70,024,830	22.44	292,278,854	169,512,936	38,382,661
TOTAL UNITECH A	512,345,484	121,880,840	23.79	475,684,287	367,786,895	72,232,602
UNITECH B1	225,428,098	54,749,488	24.29	217,153,648	110,994,207	14,851,831
UNITECH B2	86,594,230	23,187,212	26.78	93,350,636	32,562,577	15,915,863
TOTAL UNITECH B	312,022,328	77,936,700	24.98	310,504,284	143,556,784	30,767,694
TOTAL UNITECH A + B	824,367,812	199,817,540	24.24	786,188,571	511,343,679	103,000,296
TOTAL TOSL	247,816,236	18,912,607	7.63	-	-	1,514,391
TOTAL UNITECH	824,367,812	218,730,147	26.53	786,188,571	511,343,679	104,514,687
SFSP KSA	100,610,977	12,887,027	12.81	23,583	-	26,506,085
SFSP UAE	138,388,116	25,589,116	18.49	27,194	-	16,019,248
SFSP LEBANON	8,336,913	1,193,920	14.32	293	-	2,630,723
SFSP EGYPT	12,346,205	1,419,216	11.50	2,296	-	436,582
TOTAL SFSP	259,682,212	41,089,278	15.82	53,367	-	45,592,637

NOTE:

Figures Highlighted in red are the tonnage produced by the SFSP Facilities during 2017

All Figures are in Saudi Riyals



ACHIEVEMENTS 2017

03

UNITECH ALL | New Product Launch

Item: Cable Conduit System
Brand: UNIDUCT
Supplier: Isam Khairy Kabbani Plastic Factory (IKKPF)



UNIDUCT[®]
CABLE CONDUIT SYSTEM

Item: Roof Access Hatches
Brand: Sure Span
Supplier: Sure Span Access and Escape



SURESPAN
ACCESS & ESCAPE

Item: Thermal Ceramic
Brand: Morgan Ceramics
Supplier: Morgan Ceramics Middle East (For Qatar)



Morgan
Advanced Materials

Item: Marmoleum Concrete linoleum
Brand: Forbo Linoleum sheet
Supplier: Forbo Sarlino SAS.



Forbo
FLOORING SYSTEMS



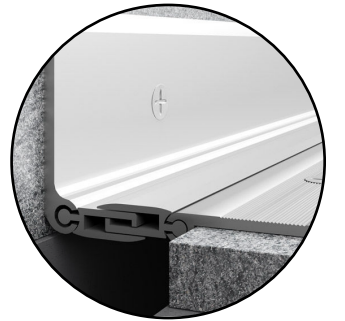
UNITECH ALL | Replacement of Commercial & Technical Items

Expansion Joint:

ACP Hellas Ltd.

EMSEAL Joint Systems, Ltd.

ARFEN INSAAT TAAHHÜT SAN. ve TIC. A.S., Turkey (For Qatar)



Concrete Spacers:

Astra Concrete Products



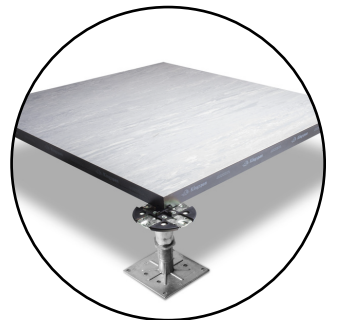
Raised Floor:

Buzon Pedestal International

Changzhou Jaichen Floor Group Co., Ltd. & Raised Floor

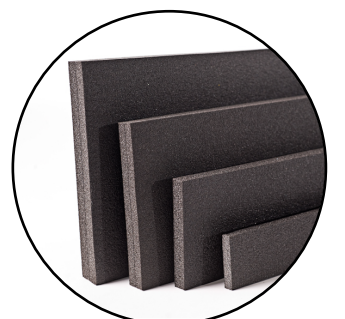
Changzhou Wujin Zhongtain Co., Ltd.

PolyGroup



Filler Board:

Transcontinental Indenting Co. LLC





UNITECH ALL | Organizational Rightsizing

Rightsizing is the process of reorganizing or restructuring the business by cost-cutting, reduction of workforce, or reorganizing upper-level management. The goal is to get Unitech molded properly to achieve the maximum profit. Rightsizing is embedded in UNITECH's policy and procedure and is carried out twice in a year in all the Unitech & SFSP branches/facilities.

UNITECH Saudi Arabia | Impact of Right Sizing

The Rightsizing in Saudi Arabia was implemented in Phases, these phases are explained in the presentation booklets provided. The diagram below illustrates the Impact of Right Sizing in numbers:

2015		2016		2017	
NO. OF EMPLOYEES 972	25 ↓	NO. OF EMPLOYEES 947	146 ↓	NO. OF EMPLOYEES 801	
PERSONNEL EXPENSE 82,791,952	4,123,167 ↓	PERSONNEL EXPENSE 78,668,785	10,006,048 ↓	PERSONNEL EXPENSE 68,662,737	

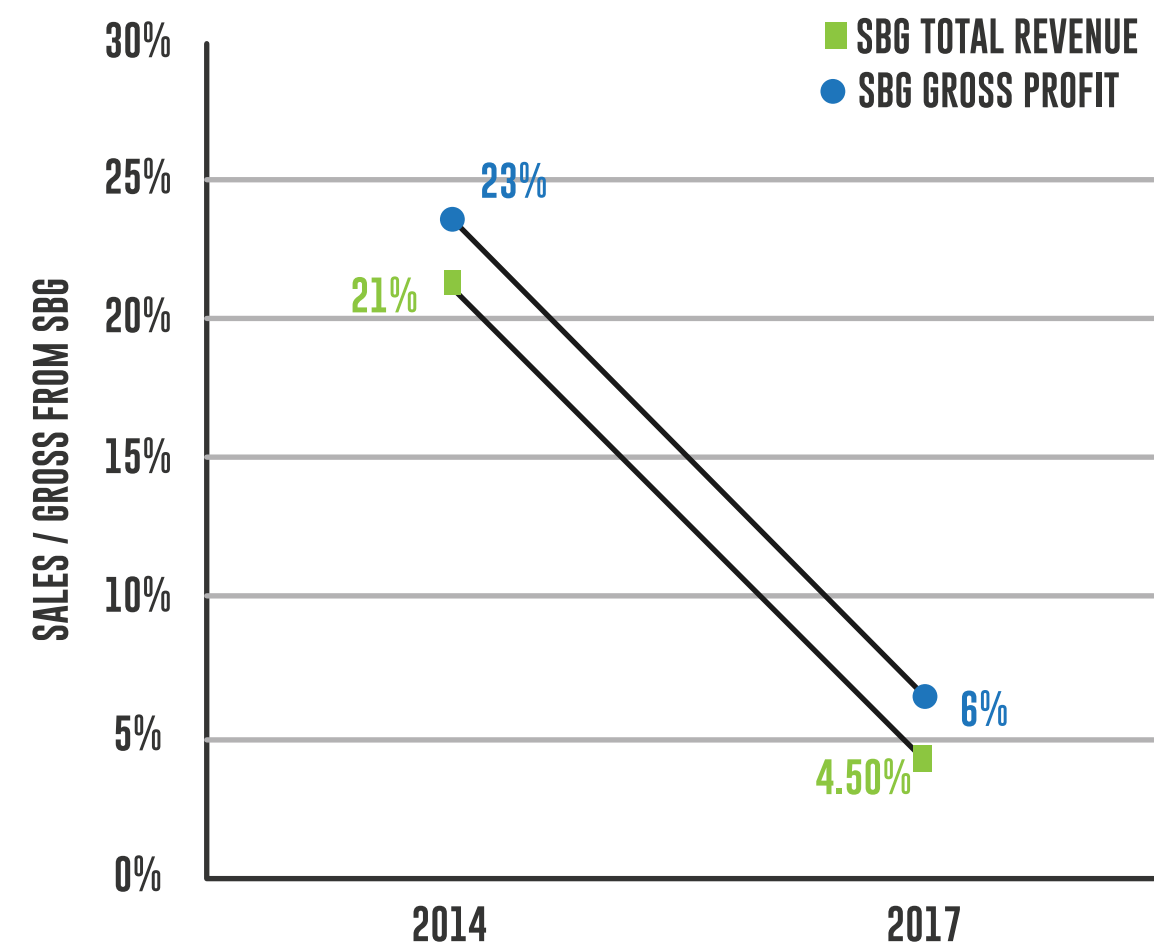
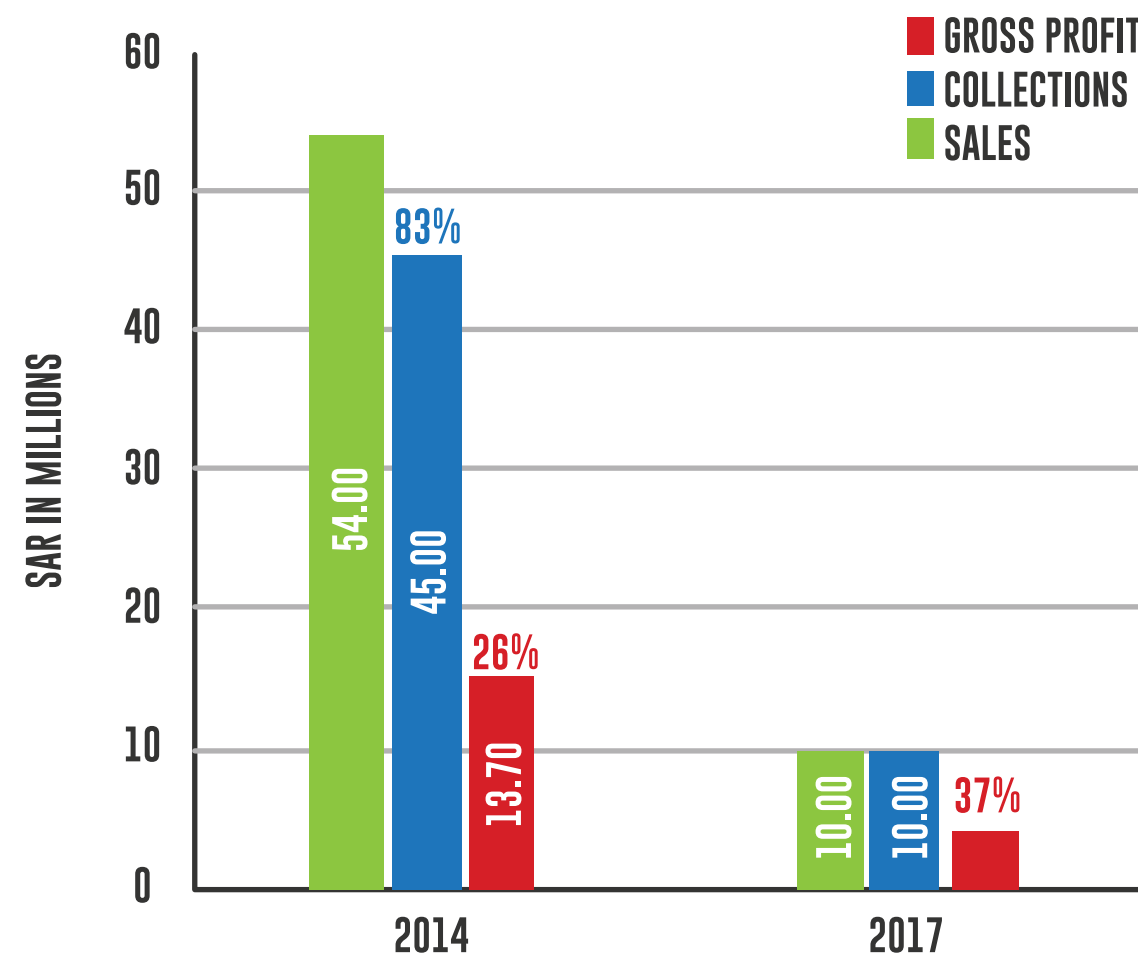


UNITECH ALL | Collecting Overdue amount from delinquent accounts

We have successfully collected around **SAR. 7 Million** from **Arabtech & Al Khodari**, this amount was due since the year **2013**.

UNITECH Saudi Arabia | Saudi bin Laden Group (SBG)

The following graph will illustrate the drop-in dependence of Unitech on Saudi bin Laden Group (SBG) for revenues.





ACHIEVEMENTS 2017

07

UNITECH Saudi Arabia | **Development of Pricelist**

SFSP KSA | **New Manufacturing Facility (JIC-3)**

UNITECH Saudi Arabia | **Key Account Management (KAM)**

UNITECH Saudi Arabia | **Implementation of VAT**



SHORTCOMINGS

2017





UNITECH Qatar | Political Crisis

The Qatar branch manager highlighted the difficulties that Unitech Qatar faced after the political problem and these are as follows:

1. Due to the closing of the Qatari - Saudi Border, the sales for important Unipro items like Insulation Board (Esscofoam from Kuwait), Protection Board (UAE), Geotextile (KSA), Rockwool (KSA), Nepro Pipes (KSA) was affected badly.
2. The problem that we may face in case the consultant requested us to make a site visit to SFSP Lebanon since there are no expanded metal machines, no block ladder machines, no cable tray machines, no uni-strut channel machine, no garbage chute machine. While all our current submittals for SFSP items show that the manufacturer is SFSP Lebanon.
3. The lead time, transportation and clearance charged of the goods received from SFSP DIC have drastically increased because of the rerouting of the material.



UNITECH Qatar | Political Crisis

4. There was a proposal of opening a workshop in Qatar in order to support the sales for Unimetal, however, the proposal was rejected as there is no possibility of a Saudi Company investing in Qatar.

Snap Shot of the transportation cost for Unimetal Items in the following Table:

	ASSUMED 2018 BUDGET REVENUE FOR STEEL ITEMS PER YEAR FROM SFSP DIC	COST OF STEEL PURCHASES FROM SFSP DIC PER YEAR (35% GROSS MARGIN)	MONTHLY COST OF STEEL PURCHASES FROM SFSP DIC	NO. OF CONTAINERS NEEDED MONTHLY ASSUMING THAT THE 1 x 40' CONTAINER IS LOADED WITH STEEL MATERIAL WORTH QR. 100,000	FREIGHT CHARGES FROM SFSP DIC TO BEIRUT ONLY INCLUDING BEIRUT PORT CHARGES FOR 1 x 40' CONTAINER	MONTHLY PAYMENT FOR FREIGHT CHARGES FROM SFSP DIC TO BEIRUT INCLUDING BEIRUT PORT CHARGES	EXPECTED YEARLY FREIGHT CHARGES FROM SFSP DIC TO BEIRUT INCLUDING BEIRUT PORT CHARGES
	A	B = A x 0.65	C = B / 12	D = C / 100,000	E	F = D x E	F = D x 12
QAR.	40,000,000	26,000,000	2,166,666	22	17,198	372,623	4,471,480
SAR.	41,200,000	26,780,000	2,231,667	22	17,714	383,802	4,605,624



UNITECH ALL | Collections leading to provision

UNITECH Saudi Arabia | Failure to establish the Traders Division

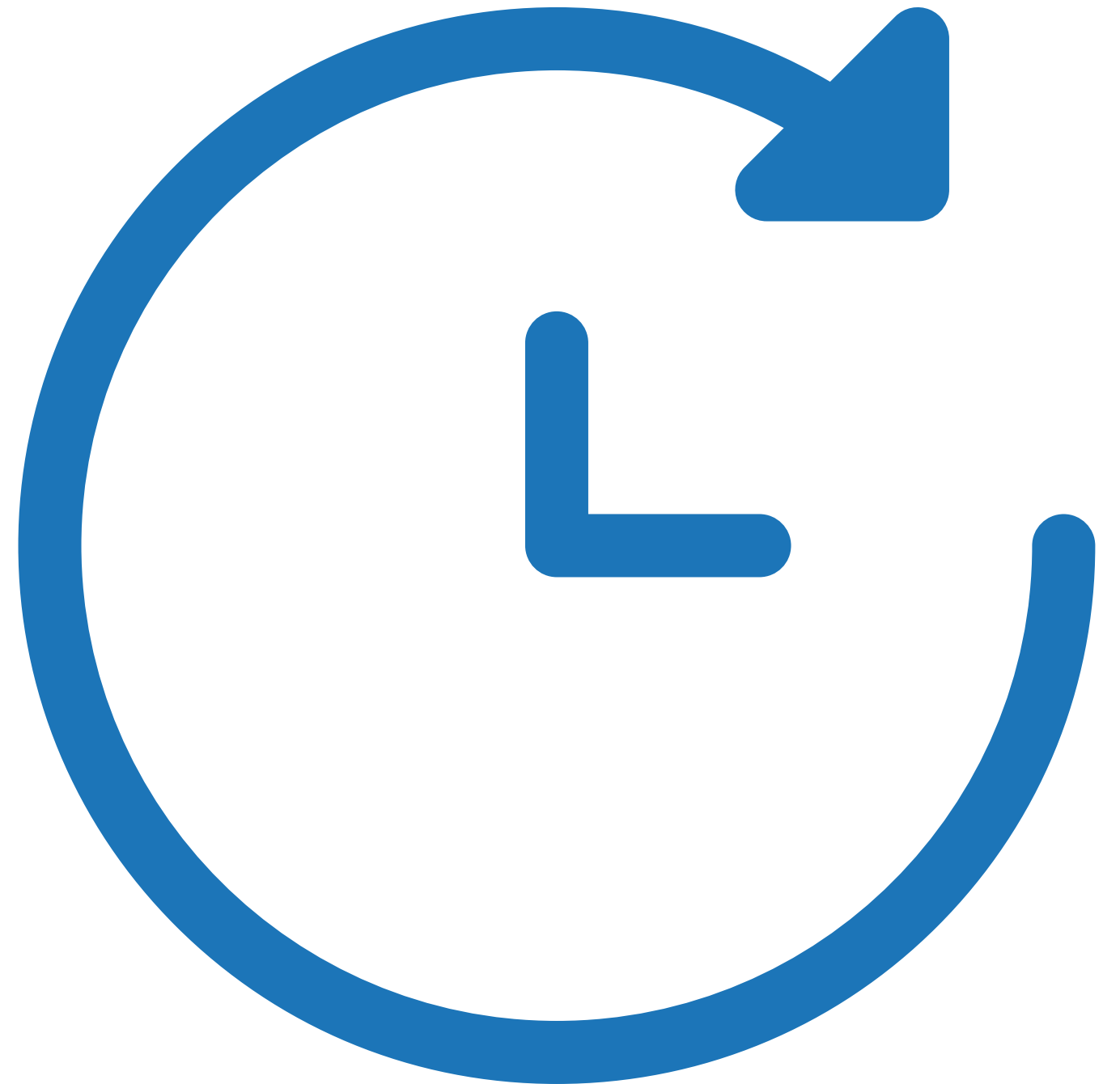
UNITECH Saudi Arabia | The initiative of "Specialized AEG Team" failed

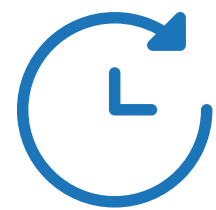
SFSP Egypt | Finalizing the logistics of Raw Material

SFSP KSA | Lead/Delivery time

BUDGETS & FUTURE PLANS

2018





BUDGETS & FUTURE PLAN 2018

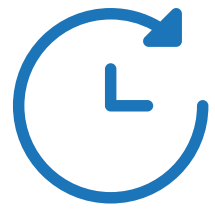
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UNITECH ALL | Budget 2018

	SALES	GROSS	%
UNITECH A1	230,864,000	54,668,428	23.68
UNITECH A2	293,280,000	72,300,100	24.65
TOTAL UNITECH A	524,144,000	126,968,528	24.22
UNITECH B1	232,007,040	58,294,061	25.13
UNITECH B2	109,333,750	29,218,654	26.72
TOTAL UNITECH B	341,340,790	87,512,716	25.64
TOTAL UNITECH A + B	865,484,790	214,481,245	24.78
TOTAL TOSL	225,994,200	19,430,778	8.60
TOTAL UNITECH	865,484,790	233,912,023	27.03
SFSP KSA	129,937,500	23,637,500	18.19
SFSP UAE	134,640,000	25,641,576	19.04
SFSP LEBANON	6,187,500	1,435,044	23.19
SFSP EGYPT	12,000,000	1,867,000	15.56
TOTAL SFSP	282,765,000	52,581,120	18.60

NOTE:

All Figures are in Saudi Riyals



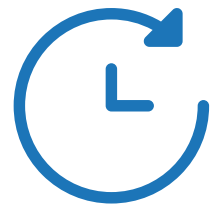
UNITECH ALL | Expanding Product Range

First and Foremost, the concern and priority are to add more products to our basket. With the support of TOSL, we'll be working towards introducing new products to cater the needs of Trader and Contractor market as well as to complement the existing product range.

In few branches, we shall be working towards increasing the market share of consumable products and products with high profitability.

UNITECH Lebanon | Employee/Skill Evaluation & Sales per Capita

As Unitech Lebanon is a small branch, an effective employee evaluation shall be carried out and effective rightsizing shall be implemented. After the optimization of branch strength, each sales executive in Lebanon shall have to bring in an annual revenue that ranges from **USD 750,000 - 1,000,000.**



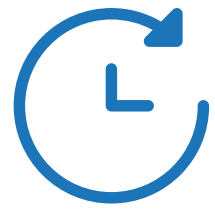
UNITECH Egypt | Revenue shall increase

Shall increase the sales of **Unipro & Beta** Contech products/items as there is a lot of potential for these products in the market.

UNITECH Saudi Arabia | Effective Development of Traders Division

In the start of 2018, we have taken an initiative of developing the Traders Division and leading it to the growth that is sustainable and moving in this direction we have appointed a National Trading Manager (**Isam Al Humsi**), who comes in with his extensive sales experience in order to revive the trader's division. Few steps taken in the direction of developing traders division in 2018 are as follows:

- . Hiring Saudi Sales Representatives
- . Training Initiatives to educate our Traders Sales Staff.
- . Appointment of Product Managers/Specialist.
- . Budgeting 10 million + only for the main products like Terram, Bison, & Uniduct.
- . Trader oriented Products shall be added to the UNITECH Product Range.



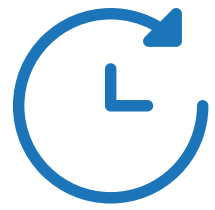
UNITECH Qatar | Sourcing Material/Items

Due to the closing of the Qatari - Saudi Border, the sales for important Unipro items like the following items were affected severely and the solution that is figured out is to source items like **Insulation Board** (Kuwait); **Protection Board** (UAE); **Geotextile** (KSA) & **Rockwool** (KSA) from Turkey or India.

Unitech Qatar shall push to increase the 2018 Budget to QR 80 Million and increase the revenues for non-steel items where they can reach **QR 40 - 54 Million** (50 to 60 % of total budget revenue).

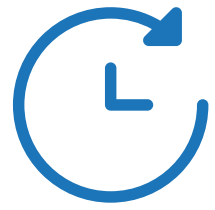
Reduce the revenues for SFSP items and increase those for non-steel (because of the transportation cost and lead time), get the required steel goods from new sources (India, Turkey)

Adding new products to the product range of non-steel items and keep the gross margin percentage for steel items at 35%



UNITECH ALL | **Sales Audit Dept.**

- . **The Concept**
- . **How can Sales Audit make a difference?**
- . **Financial Impact**
- . **Growth Opportunities**
- . **Priority Audits on Projects and Traders**
- . **Operational Efficiencies**
- . **People and Process**

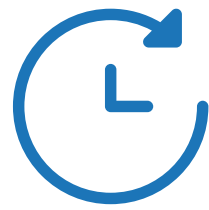


SFSP ALL | In General

Increase the factory product basket by adding additional products and improve available ones. Some investment already had been planned in the pipeline and to be finalized with the top management.

Direct the team to achieve essential objectives and certifications Such as Garbage Chute UL certification, Cable management System UL certification to be added to our SFSP portfolio in 2018.

Complete the ERP design for all SFSP entities, finalize the implementation successfully in SFSP UAE and start the implementation in SFSP KSA.

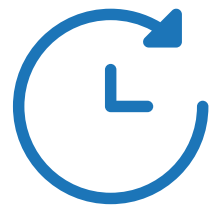


SFSP KSA | In General

Secure a steady growth in all SFSP entities focusing on SFSP KSA in 2018. The budget had set on challenging targets for all entities and action plans had been discussed with all teams.

Restructure SFSP KSA operation and follow the same adopted strategy of SFSP UAE in creating a solid structure based on the right size required for the operation to be governed by a flat chain of commands and strong span of control that can ensure all policies and rules are abided and understood by all members of the operation team for continuity and persistence.

Finalize all requirements and implementation of the ERP and production system in SFSP KSA.

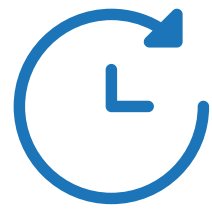


SFSP UAE | In General

Achieve the strategic vision to boost up the efficiency (80%) of SFSP UAE to exceed target 2017

- 1. In Revenue by 5%**
- 2. In Gross Profit by 11%**
- 3. Increasing Produced Tonnage by 5%**

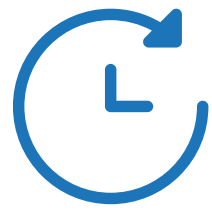
Create a solid structure based on the right size required for the operation to be governed by a flat chain of commands and strong span of control that can ensure all policies and rules are abided and understood by all members of the operation team for continuity and persistence.



SFSP EGYPT | In General

Total restructuring for SFSP Egypt, review production capacity and machines and reorganizing the production facility/ operation to be able to reach the following achievements:

- 1. Exceed Target Revenue by 46%**
- 2. Exceeding Gross Profit by 25%**
- 3. Increasing Produced Tonnage by 8%**
- 4. Start ERP implementation in SFSP Egypt in 2018.**



SFSP LEBANON | In General

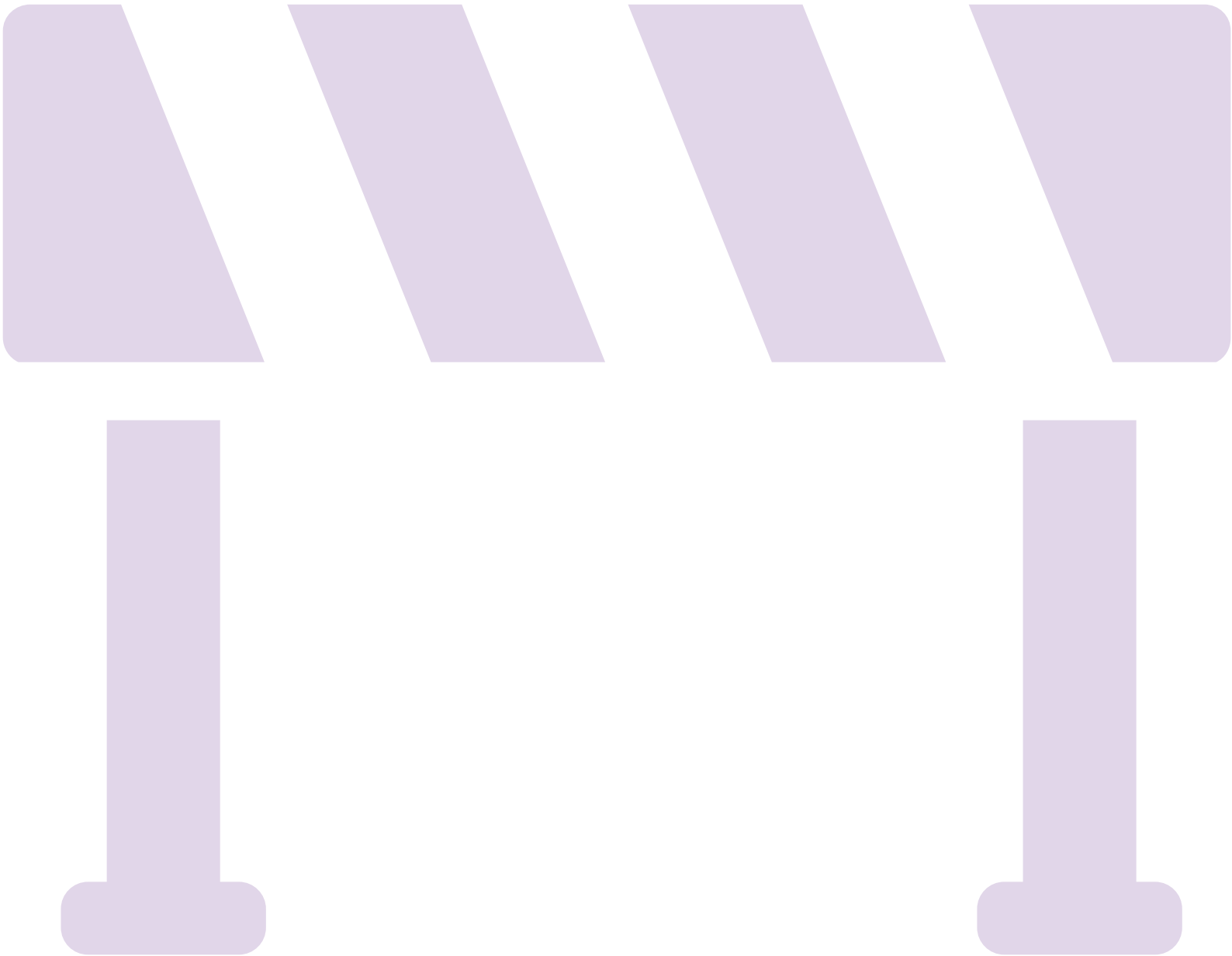
Work towards the strategic aim of developing production methods and closing possible gaps to be able to serve wide markets with a better product range that would result in:

1. Exceeding Target 2017 revenue by 51%
2. Exceeding Gross Profit by 89%
3. Increasing Produced tonnage by 24%



PRESSING OBSTACLES

2017





UNITECH ALL | Account Receivables (A/R) Management

A/R management remains one of the biggest obstacles in 2018. The financial turbulence/difficulties faced by many organizations related to Unitech had a huge impact on the A/R performance of Unitech during 2017. Due to the struggle in the market, there is no sign of the cash flow improvement in the market for the short term.

SFSP ALL | In General

Enhance cash flow cycle by renegotiating new deals with existing suppliers and find new mills to establish a long relationship with them on better terms and prices. (With full coordination with TOSL team)

Come over the major shortcoming in SFSP KSA and focus on bringing back the operation into the profitable and steady side of the business and to be able to provide better service to all Unitech branches based on meeting promised and expectation in products and quality.

Ensure a full stock control on all factories available inventories especially tackling the instability available in the raw

FINANCIALS

2018





FINANCIAL HIGHLIGHTS | **Achievements**

1. Effective Implementation of OWC Plan
2. Ensuring maximum transparency in book keeping and in cash flow management
3. Improved relation with banks
4. Strategic Relationship with Suppliers
5. Improved coordination with internal and external auditors.
6. Finance was actively involved in the process of policy making.
7. Active participation in various training programs, seminars, etc. In accordance of corporate requirement.
8. Excelling in coordination with corporate, helped in timely and evenly payment of dividend, management fees etc...



FINANCIAL HIGHLIGHTS | **Impacts of the Financial Shortfalls**

In General

In 2017, The financial shortfalls have been caused by many different factors. The shortfall was a result of an overall economic downturn. To boost the economy and align with the vision 2030, the construction sector of Saudi Arabia was going through a transition and as it is with any implementation, it takes time to align to a vision and the major obstacles faced are in the early stages. The alignment impacted the construction sector to slowdown. In order to cope with the market situation, Unitech has taken many necessary step and few of these are mentioned below:

1. Organizational rightsizing was implemented, and the unessential/low performing employees were targeted, and the expenses related to them was reduced, that effected many other expenses (Ex: Family Residence Permit Fee, Family Medical Health Insurance etc...)
2. Dependence on Saudi Bin Laden for revenue has drastically dropped during 2017 and almost 85% of the revenue in the Northern & Western Regions was generated through penetrating the Small and Medium projects as planned in 2016.



FINANCIAL HIGHLIGHTS | **Future Plans**

Payment Guarantee

Impose payment guarantee for existing and future deals in all the applicable cases of the sales which will provide us a beneficiary with financial security should the client/customer fail to make payment for the goods or services supplied. (How)

Collecting amounts causing provisions

Effective and prompt mechanism is being developed where we shall control plus filter all provisions as per client/sales executives and see what measures can be taken to collect the overdue amounts (provisions) and what shall be blocked from the doubtful customers. In 2018, we shall be appointing an Credit Control Manager.



FINANCIAL HIGHLIGHTS | **Future Plans**

Initializing Credit Control Dept.

The Credit Control Dept. shall make major contributions to the maximization of sales and profit. This department will work in conjunction with the sales department to make sure that the sales extended on credit are going to credit worthy customers who will pay in a timely manner. The most important role of the Credit Control Department is to keep the accounts receivables low and reduce bad debt and see that there is an increase in timely payments from new and current customers.

This department shall be involved in the reviewing and approving of new accounts, extending credit facilities, establishment of payment terms, timely reviewing of credit facility files for customers, performing analysis on customers financial statements, reviewing payment performance, and more. They will also be responsible for the placing and releasing of credit holds on accounts and orders.

In 2018, we shall be appointing an Credit Control Manager that shall be reporting directly to the Managing Director and shall be responsible for developing the Credit Control Department.



FINANCIAL HIGHLIGHTS | **Future Plans**

Control on Local Purchases

In the start of 2018, many steps have been taken towards controlling the local purchasing practices. These are listed as follows:

1. Local purchases is limited only to market demand.
2. Initiated centralization of local purchasing through TOSL.
3. Developed an approved Vendor List.
4. Created a submission and approval process.



UNITECH ALL | Financials

	FY 2013	FY 2014	FY 2015	FY 2016	FY 2017
REVENUE	1,004,448,220	1,090,701,309	1,094,992,252	963,325,780	978,529,727
NET PROFIT BEFORE PROVISIONS, BONUS & ZAKAT	96,980,736	91,366,230	88,831,004	67,002,728	64,479,392
INVENTORY PROVISIONS	3,910,886	7,829,973	9,585,462	4,432,276	6,637,914
ACCOUNT RECEIVABLE PROVISIONS	4,649,462	9,155,873	13,760,215	13,131,400	20,779,032
PERFORMANCE REWARD	24,740,751	19,063,894	18,416,337	16,337,091	0
ZAKAT	4,809,921	5,496,990	6,001,654	6,018,330	7,500,000
NET PROFIT	61,021,000	54,709,583	50,613,613	36,634,113	40,865,053
RETAINED EARNINGS	0	0	0	0	0
DIVIDEND PAID	20,394,755	36,079,152	37,376,491	17,867,604	9,372,901



THANK YOU
&
LETS HAVE A SUCCESSFUL YEAR